Nebius Group N.V. (NBIS) - Deep Dive

Full active edition | Financial methods and portfolio Base overrides preserved.

Date: October 2, 2026 evidence update | September 28 pricing model retained | Q2 2026 anchor (reported August 12) **Framework:** 8.0 evidence treatment; the existing company-specific valuation exception and handoff are explicitly preserved. **Status:** CORE POSITION (user-confirmed September 28) | ⚡ TEMPORAL BOTTLENECK - deployed AI compute and contracted power **Base: 50/60 = 83% Locked methodology: 6× forward-four-quarter revenue through Q1 2028; 20× forward-four-quarter operating profit from Q2 2028. Valuation share schedule:** 305M at Q3 2026, 330M at Q3 2027 and 363M at Q1 2030; the pre-update schedule is retained. **Workbook price snapshot:** $234.83, September 28, 2026 12:40 EDT; retained from the saved workbook. **Protected Excel Base:** 95. Analytical Base remains 50/60 (83%). **Q4 2027 active price target: $562.73** | same-quarter forecast unchanged **Model tab:** NBIS_Q_Model

October 2 evidence: Inferize and market pricing

Nebius announced its acquisition of Inferize on October 1, bringing the team and technology into TokenFactory. Transaction consideration, acquired revenue, dilution and quantified group cost savings were not disclosed. Issuer release.

The supplied demonstration compares model startup/readiness in roughly 20-28 seconds with approximately 22-26 minutes for the comparison setup. This is a cold-start test; it does not establish a matching improvement in token-generation throughput, paid utilization or company-wide capacity.



Nebius acquisition announcement preserved in the October 2 digest. The associated startup-time comparison is discussed in the source post, not quantified by this image.

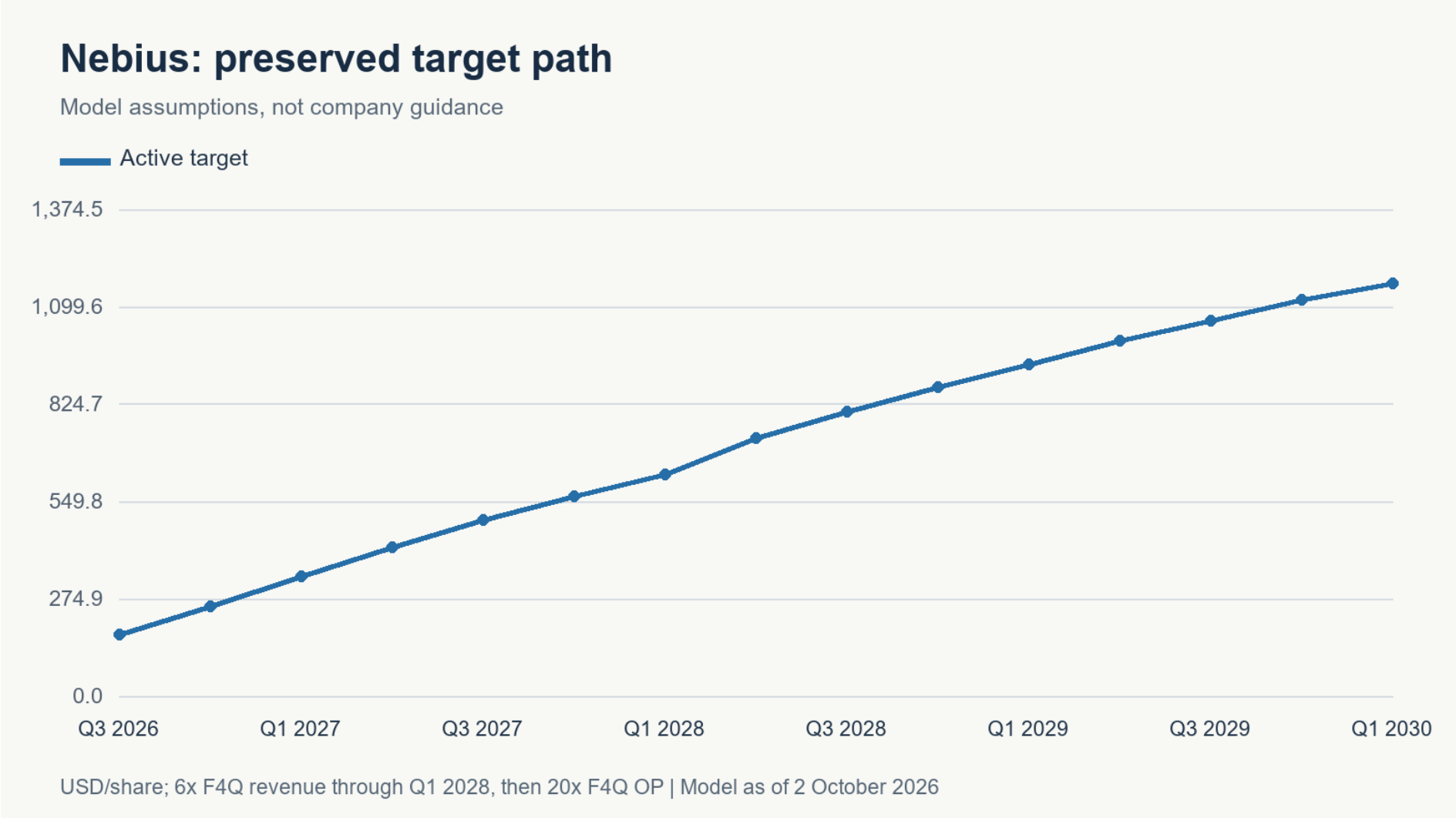
Breadcrumb treatment: assign a 60% subjective probability that integration improves elastic-inference unit economics. A bounded test is a 10% reduction in cold-start idle expense on the exposed elastic workload pool, before integration payroll and acquired-intangible costs. That pool is not disclosed. The current path already embeds approximately 60% underlying mature cash margin and substantial platform leverage; apply a 100% overlap deduction to an unallocated generic efficiency claim. Thus the active incremental operating profit is zero, with a precise scope gap, rather than converting demo speed into profit. No change to the 83 analytical Base: TokenFactory, full-stack execution and inference expansion were already scored. The cash consideration and any new securities must be reconciled when

disclosed.

AWS separately raises selected Capacity Blocks GPU rates by about 15% from October 7. Its B300 rate moves from $14.04 to $16.146 per accelerator-hour and B200 from $12.355 to $14.208 in the cited regions. AWS says On-Demand and Savings Plans remain unchanged; purchase-time reservation terms govern. AWS rate card. This supports pricing tightness but is not another Nebius announcement. The owner-instructed two 15% Nebius steps already express this future-pricing thesis; no fourth increase is added.

Evidence / driver	Active treatment
Inferize acquisition	Confirmed event; financial terms undisclosed
Illustrated startup improvement	Qualitative utilization evidence; no revenue multiplier
Joint useful integration probability	60% analyst judgment
Conditional cost proxy	10% of cold-start idle expense on elastic workloads; exposed amount unknown
Overlap deduction / new OP	100% / zero against existing generic leverage; revisit measurable standalone savings
October selected NBIS GPU increase	Retained equal-weight19.195836% proxy on10% eligibleAI revenue
Q1 andQ3 2027 steps	Owner-selected15% each retained
Price target / analytical Base / Excel Base	$562.727251 / 83 / 95, all unchanged

The Q4 2027 headline now follows the October horizon convention. It is not an economic upgrade from the former Q3 headline. All quarterly target values and the Q2 2028 revenue-to-profit handoff are unchanged.



Nebius: preserved target path. USD/share; 6x F4Q revenue through Q1 2028, then 20x F4Q OP. Model assumptions, not company guidance

Quarter	USD/share
Q3 2026	172.2247
Q4 2026	253.2823
Q1 2027	338.0135

Quarter	USD/share
Q2 2027	420.2938
Q3 2027	496.0480
Q4 2027	562.7273
Q1 2028	625.1839
Q2 2028	728.0410
Q3 2028	803.3760
Q4 2028	872.9753
Q1 2029	937.4343
Q2 2029	1002.3747
Q3 2029	1060.6543
Q4 2029	1118.3782
Q1 2030	1164.8448

Scope and locked valuation rule

This is a pricing-only refresh. The preceding artifact's deployment path, underlying monetization, cost assumptions, valuation share schedule and analytical Base are preserved. Its early revenue multiple and later operating-profit multiple are intentional. Changing TAM, pricing, debt or dilution does not authorize changing that methodology. Neither its multiples nor the Q2 2028 handoff may be changed without the user's explicit instruction.

The share schedule is an inherited model assumption, not a freshly verified capital table. No new financing or dilution scenario is introduced in this update. Price-dependent upside and ranking remain workbook outputs.

Announced October 1 GPU pricing

The published on-demand rates rise from $3.85 to $4.50 for H100, $4.50 to $5.40 for H200, $7.15 to $8.50 for B200, and $7.85 to $9.50 for B300, per GPU-hour. That is approximately 20%, with an equal-weight rate index of 19.195836%. [P1]

The increase applies to those on-demand services. It does not automatically reprice fixed-price or reserved contracts. The numerical overlay provisionally assumes 10% effective eligible AI-cloud revenue, reflecting the undisclosed contract/GPU mix; this is an explicit LOW-confidence estimate. October starts the repricing in Q4 2026. Incremental pricing costs are assumed at 10% of extra revenue (5% cost of revenue, 2% product development, 3% SG&A). Baseline deployment costs and D&A remain unchanged.

User-assumed 2027 pricing steps

The active model includes a further **15% increase from Q1 2027** and **15% from Q3 2027**, explicitly instructed by the user on September 28. They apply to the same 10% effective eligible pool and compound on the already increased price. They are modeling assumptions, not company announcements; both enter the active case at their full instructed amount, with no separate probability haircut. The demand rationale is the user's expectation that continuously running AI agents and expanding usage keep compute scarce; no unverified app ranking or future launch is used as a reported financial fact.

The eligible price index is 1.19195836 from Q4 2026, 1.37075261 from Q1 2027 and 1.57636550 from Q3 2027. These are increases of 19.20%, 37.08% and 57.64% over the pre-October rate, respectively. At 10% eligible exposure, the corresponding uplift to underlying AI-cloud revenue is 1.92%, 3.71% and 5.76%. The two 2027 steps alone compound to 32.25%, rather than 30%. Each level persists until replaced; the model does not repeat a 15% increase every quarter or every year.

Incremental revenue = underlying AI-cloud revenue × 10% eligible exposure × (active price index - 1). Incremental OP = incremental revenue × 90%. Source certainty about October's announcement does not establish the eligible revenue fraction or the future increases. The early ceilings capitalize revenue at 6x, while later ceilings capitalize OP at 20x, exactly as before.

1. Latest earnings anchor (AH-15)

Q2 2026, reported 2026-08-12. USD millions.

Metric	Q2 2026 actual		Movement
Group revenue		**$582.3M**	+454% YoY from $105.1M, +46% QoQ
Nebius AI cloud revenue		**$574.9M**	+514% YoY, ~98% of group
ARR at end June		**$3.0B**	+598% YoY, +56% from $1.9B at end March
Group adjusted EBITDA	**$236.2M**, 41% of revenue		from -$21.0M
Nebius AI cloud adjusted EBITDA	**$285.7M**, **49.7% margin**		
Loss from operations	**-$175.9M**		
Adjusted net loss	-$33.2M		
Operating cash flow		**$2,246.1M**	
Capex		**$5,657.4M**	$8,130.3M in H1
Cash and equivalents		$8,042.1M	

The full cost stack, all disclosed

Line	Q2 2026	% of revenue	Year-ago %
Cost of revenues	$133.6M	23%	29%
Product development	$191.0M	33%	41%
Sales, general and administrative	$173.9M	30%	65%
Depreciation and amortisation	$259.7M	45%	72%
Total operating costs	**$758.2M**	**130%**	206%

Product development includes **$115.9M of non-recurring share-based compensation and post-combination expense** from the Eigen AI acquisition. Total share-based compensation was $102.5M.

Guidance, reaffirmed on this print

FY2026 revenue **$3.0-3.4B**. Year-end 2026 ARR **$7-9B**. Management reaffirmed full-year guidance across all metrics.

2. Why the decomposition is by cost, not product (AH-11)

Nebius AI cloud is roughly 98% of group revenue, so a revenue-vector split is not where the information is. What Nebius does disclose in full is **the cost stack, every line as a percentage of revenue**.

The entire investment question is operating leverage across those four lines. A single entered operating margin reports it as one number and hides the fact that three lines are collapsing while the fourth is not.

Each line therefore carries its own percentage with explicit leverage, and operating profit is derived.

3. The D&A problem, and why the ceiling basis switches

Nebius is cash-generative and GAAP operating-loss-making at the same time. Q2 delivered $2,246.1M of operating cash flow and a $175.9M operating loss, because depreciation runs at 45% of revenue on an asset base that grew from $5,553.3M to $13,045.2M of net property and equipment in six months. Useful life for server and network equipment was extended from four years to five in 2026.

Quarter	D&A $M	D&A / revenue	OP margin	EBITDA proxy margin
Q3 2026	391.00	46.0%	-6.0%	40.0%
Q3 2027	1,911.00	36.9%	22.4%	59.3%
Q4 2028	3,007.00	29.3%	32.7%	62.0%

Quarter	D&A $M	D&A / revenue	OP margin	EBITDA proxy margin
Q4 2030	3,216.00	22.7%	39.4%	62.1%

An operating-profit ceiling is structurally suppressed in exactly the years the company compounds fastest. **Given the scale of reinvestment, a revenue multiple is the right basis in the early stages and an operating-profit multiple thereafter.**

The ruling

Ceilings from Q3 2026 through Q1 2028 use 6× forward-four-quarter revenue. From Q2 2028 they revert to the standing 20× forward-four-quarter operating profit. The basis is stated per row in the ladder below and in the Window / locked basis column of the model tab.

The handoff remains **Q2 2028**. The current Q1 2028 ceiling is $625.18 on revenue, and Q2 2028 is $728.04 on operating profit. No smoothing or alternate switch date is used.

What 6× revenue implies

At the ranking cell, 6× forward revenue is equivalent to 22.12× modeled operating profit and 9.87× the modeled EBITDA proxy. These are cross-checks, not replacement valuation methods. The early revenue basis intentionally differs from 20× OP. Depreciation remains in the operating model and in the later OP-based ceilings.

4. The cost path is anchored to the disclosed unit economics

Management disclosed annual contract value of **$20-25M per MW** on Q2 deals and an expected payback of **1 year 10 months** on the associated capex *and* related operating costs, down from a historical two-to-three-year range.

Taking $20M of ACV per MW and roughly $22M of capex per MW:

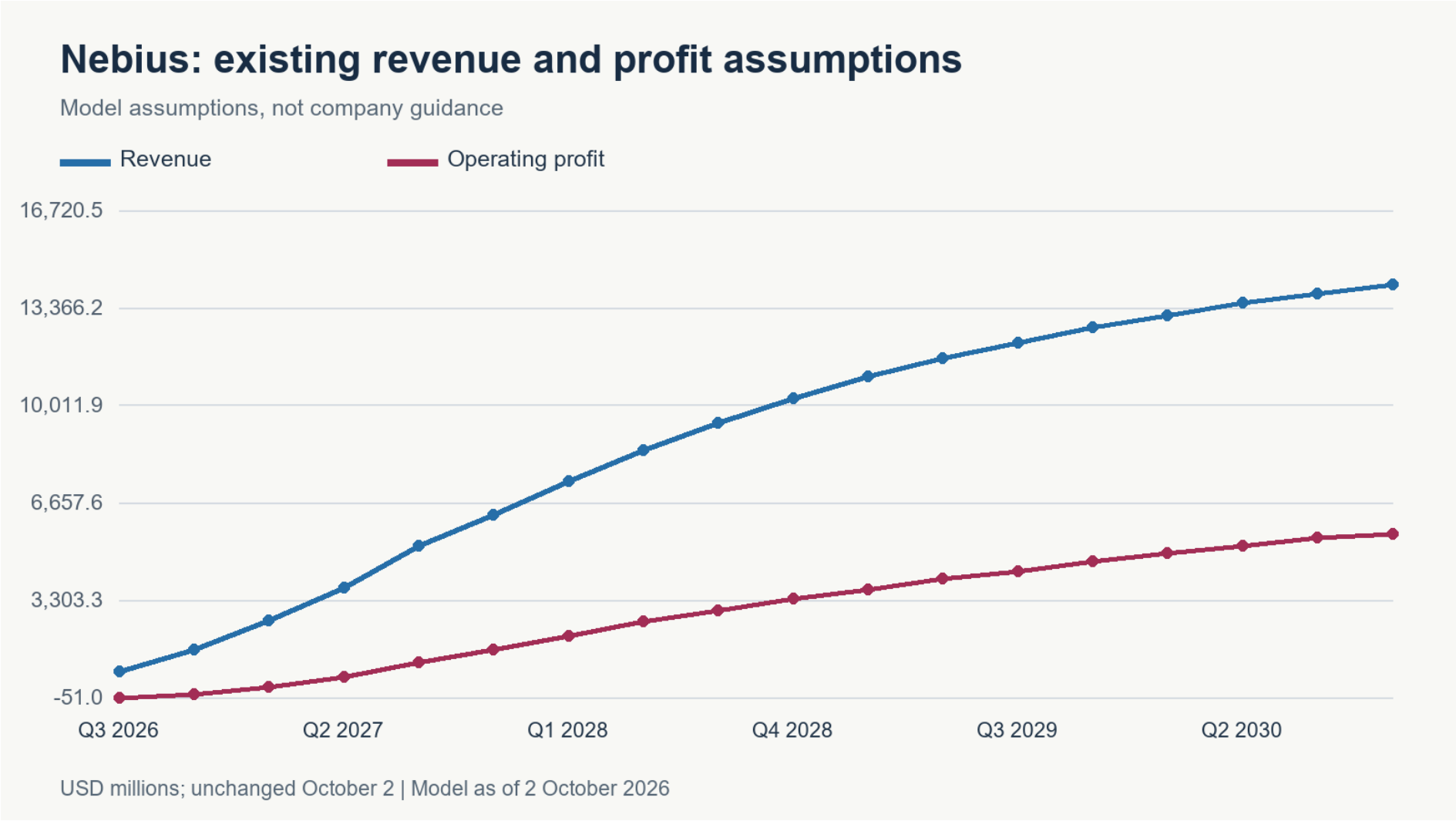
	Implied
Annual cash margin	$12.0M per MW = 60% of ACV
Cash operating cost	40% of revenue
D&A at a five-year life	$4.4M per MW = 22% of revenue
Steady-state operating margin	**38%**
Steady-state adjusted EBITDA	**60%**

The preserved underlying cost path before pricing approaches those economics: cash costs settle near 40% of underlying revenue and the EBITDA proxy near 60%. Incremental price realization raises the displayed EBITDA proxy; no baseline cost ratio has been lowered to produce that uplift.

This is the discipline that keeps the model honest. An earlier cost path that simply extrapolated the disclosed operating leverage produced an adjusted-EBITDA margin near 78%, which no cloud business achieves and which nothing in the disclosure supports.

5. Quarterly model

Revenue and cost stack

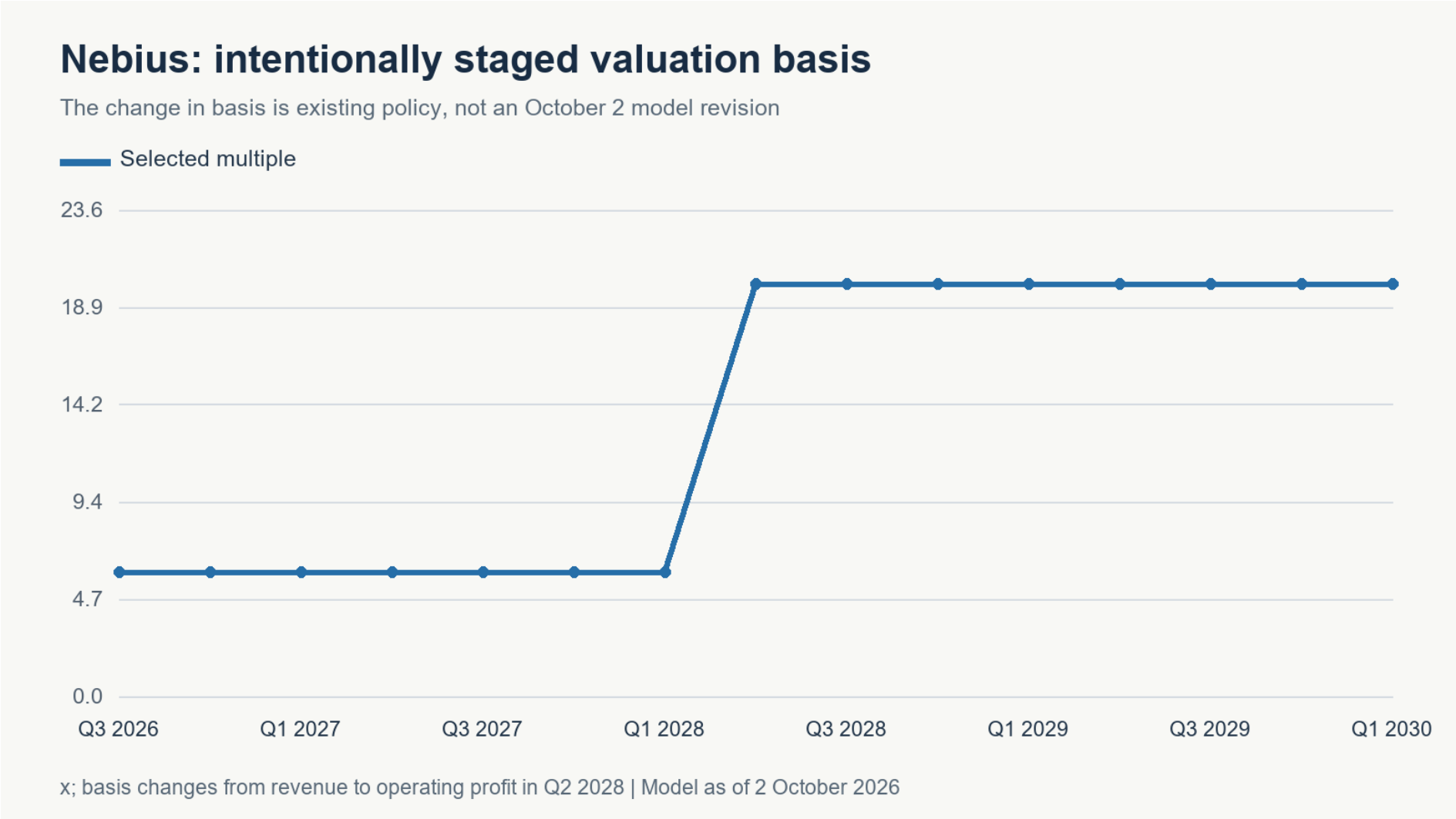


Nebius: existing revenue and profit assumptions. USD millions; unchanged October 2. Model assumptions, not company guidance

All values USD millions. Costs preserve the preceding operating path plus only the explicit incremental pricing costs above.

Quarter	AI cloud	Other	Revenue	CoR	Product dev	SG&A	D&A	Total costs	OP	OP margin
Q3 2026	841.00	9.00	850.00	178.50	127.50	204.00	391.00	901.00	-51.00	-6.00%
Q4 2026	1,569.56	10.00	1,579.56	319.23	186.59	310.89	697.50	1,514.21	65.36	4.14%
Q1 2027	2,580.24	12.00	2,592.24	504.61	264.34	427.77	1,075.00	2,271.72	320.52	12.36%
Q2 2027	3,718.95	14.00	3,732.95	726.65	344.66	543.99	1,476.00	3,091.30	641.66	17.19%
Q3 2027	5,165.50	16.00	5,181.50	994.07	446.63	669.94	1,911.00	4,021.65	1,159.85	22.38%
Q4 2027	6,221.02	18.00	6,239.02	1,196.95	508.28	747.67	2,183.00	4,635.90	1,603.12	25.70%
Q1 2028	7,382.30	20.00	7,402.30	1,455.12	582.05	852.07	2,450.00	5,339.23	2,063.07	27.87%
Q2 2028	8,437.82	22.00	8,459.82	1,662.99	649.20	933.79	2,640.00	5,885.98	2,573.84	30.42%
Q3 2028	9,387.58	24.00	9,411.58	1,894.58	704.43	1,012.15	2,848.00	6,459.16	2,952.42	31.37%
Q4 2028	10,231.58	26.00	10,257.58	2,064.88	748.35	1,083.73	3,007.00	6,903.96	3,353.62	32.69%
Q1 2029	10,969.81	28.00	10,997.81	2,265.89	791.96	1,141.13	3,120.00	7,318.98	3,678.83	33.45%
Q2 2029	11,602.27	30.00	11,632.27	2,396.61	826.65	1,184.97	3,190.00	7,598.23	4,034.05	34.68%
Q3 2029	12,128.98	32.00	12,160.98	2,563.05	852.72	1,227.33	3,220.00	7,863.10	4,297.88	35.34%
Q4 2029	12,655.68	34.00	12,689.68	2,674.48	877.79	1,268.69	3,240.00	8,060.97	4,628.71	36.48%
Q1 2030	13,076.62	36.00	13,112.62	2,763.63	894.65	1,298.58	3,224.00	8,180.86	4,931.76	37.61%
Q2 2030	13,497.56	38.00	13,535.56	2,916.78	910.71	1,327.67	3,200.00	8,355.16	5,180.40	38.27%
Q3 2030	13,812.73	40.00	13,852.73	2,985.14	932.05	1,345.68	3,144.00	8,406.87	5,445.86	39.31%
Q4 2030	14,127.91	42.00	14,169.91	3,053.50	953.40	1,363.10	3,216.00	8,585.99	5,583.92	39.41%

Active quarterly pricing inputs



Nebius: intentionally staged valuation basis. x; basis changes from revenue to operating profit in Q2 2028. The change in basis is existing policy, not an October 2 model revision

Quarter	Eligible revenue	Price index vs pre-October	Added revenue $M	Added OP $M
Q3 2026	0%	1.000000	0.00	0.00
Q4 2026	10%	1.191958	29.56	26.61

Quarter	Eligible revenue	Price index vs pre-October	Added revenue $M	Added OP $M
Q1 2027	10%	1.370752	92.24	83.02
Q2 2027	10%	1.370752	132.95	119.66
Q3 2027	10%	1.576365	281.50	253.35
Q4 2027	10%	1.576365	339.02	305.12
Q1 2028	10%	1.576365	402.30	362.07
Q2 2028	10%	1.576365	459.82	413.84
Q3 2028	10%	1.576365	511.58	460.42
Q4 2028	10%	1.576365	557.58	501.82
Q1 2029	10%	1.576365	597.81	538.03
Q2 2029	10%	1.576365	632.27	569.05
Q3 2029	10%	1.576365	660.98	594.88
Q4 2029	10%	1.576365	689.68	620.71
Q1 2030	10%	1.576365	712.62	641.36
Q2 2030	10%	1.576365	735.56	662.00
Q3 2030	10%	1.576365	752.73	677.46
Q4 2030	10%	1.576365	769.91	692.92

Preserved underlying inputs

Quarter	Base AI revenue	Base CoR %	Base PD %	Base SG&A %	Base D&A %
Q3 2026	841.00	21.0%	15.0%	24.0%	46.0%
Q4 2026	1,540.00	20.5%	12.0%	20.0%	45.0%
Q1 2027	2,488.00	20.0%	10.5%	17.0%	43.0%
Q2 2027	3,586.00	20.0%	9.5%	15.0%	41.0%
Q3 2027	4,884.00	20.0%	9.0%	13.5%	39.0%
Q4 2027	5,882.00	20.0%	8.5%	12.5%	37.0%
Q1 2028	6,980.00	20.5%	8.2%	12.0%	35.0%
Q2 2028	7,978.00	20.5%	8.0%	11.5%	33.0%
Q3 2028	8,876.00	21.0%	7.8%	11.2%	32.0%
Q4 2028	9,674.00	21.0%	7.6%	11.0%	31.0%
Q1 2029	10,372.00	21.5%	7.5%	10.8%	30.0%
Q2 2029	10,970.00	21.5%	7.4%	10.6%	29.0%
Q3 2029	11,468.00	22.0%	7.3%	10.5%	28.0%
Q4 2029	11,966.00	22.0%	7.2%	10.4%	27.0%
Q1 2030	12,364.00	22.0%	7.1%	10.3%	26.0%
Q2 2030	12,762.00	22.5%	7.0%	10.2%	25.0%
Q3 2030	13,060.00	22.5%	7.0%	10.1%	24.0%
Q4 2030	13,358.00	22.5%	7.0%	10.0%	24.0%

Revenue is built to the full stated deployment

The revenue path carries management's stated deployment of **more than 1 GW per year from 2027** at the disclosed annual contract value of **$20-25M per MW**, not a slower ramp. Cross-check on a convention of December equal to 40% of Q4 revenue:

Exit year	Implied AI-cloud ARR $B	Underlying MW cross-check before pricing
2026	7.53	Within $7-9B company range

Exit year	Implied AI-cloud ARR $B	Underlying MW cross-check before pricing
2027	29.86	Approximately 1,044 MW added
2028	49.11	Approximately 913 MW added

The underlying deployment pace is preserved. The pricing overlay raises monetization, not physical MW. Exit ARR uses the pre-existing December-equals-40%-of-Q4 convention and is not annual recognized revenue.

Cost of revenues rises gently across the ladder rather than falling. That is deliberate: as Nebius shifts from colocation toward owned data centres, rent moves out of cost of revenues and into D&A, but power and operations stay, and power scales with deployment rather than with revenue.

Calibration and guidance

	Model	Disclosed / guided
Q2 revenue	$582.3M	$582.3M
Nebius AI cloud	$574.9M	$574.9M
Cost of revenues	22.9%	23%
Product development	32.8%	33%
SG&A	29.9%	30%
D&A	44.6%	45%
Total opex	$758.2M, 130.2%	$758.2M, 130%
Loss from operations	**-$175.9M**	**-$175.9M**
FY2026 revenue	$3,410.86M	guided $3.0-3.4B; the pricing overlay takes the model $10.86M above the upper end
Exit-2026 AI-cloud ARR	~$7.53B	guided $7-9B

Share count

Shares issued and outstanding at 30 June were **271,855,218**, excluding 50,185,726 Class A in treasury. Q2 weighted diluted equals weighted basic at 280,381,615 because the quarterly loss makes dilution antidilutive; the **H1 diluted figure of 302,618,666** is the better base.

On top of that sit $4,337.5M of convertible notes issued in H1 2026, $2,000.0M of pre-funded warrants, and an ATM programme that sold 12.7M Class A shares at a weighted-average $223.6 for roughly $2.8B gross, with 12.3M shares still available.

The valuation denominator is the preceding artifact's rising schedule: 305M at Q3 2026, 330M at Q3 2027 and 363M at Q1 2030. It is retained for this pricing-only task; the quoted financing discussion is historical context and has not been converted into a new share-count scenario.

Confidence

Group revenue, the AI cloud split, every cost line and the operating loss are **all disclosed** for the anchor quarter, so the calibration row is disclosure rather than modelling. Forward revenue and every forward cost percentage are **modelled**, constrained to reproduce the disclosed anchor, the reaffirmed FY2026 guidance and the payback-implied steady state.

Forward detail carries LOW confidence. The anchor and the guided year carry HIGH confidence.

Equity stakes in ClickHouse (reported ~$15B valuation, January 2026) and Toloka are **not revenue** and are excluded from the model entirely.

6. Rolling forward-4Q ceiling (AH-16)

Through Q1 2028: Ceiling = [Rev(Q) + Rev(Q+1) + Rev(Q+2) + Rev(Q+3)] × 6 ÷ diluted shares **From Q2 2028:** Ceiling = [OP(Q) + OP(Q+1) + OP(Q+2) + OP(Q+3)] × 20 ÷ diluted shares

Both valuation columns include the announced October increase. Only the final column includes the assumed Q1/Q3 2027 increases of 15% each; it is the value linked into the master portfolio. Method, shares and underlying deployment/cost assumptions are identical in both columns.

Ceiling quarter	Exact forward-4Q window	Locked basis	Shares M	October only $/share	Final: +15% Q1/Q3 $/share	Effect of 2027 hikes
Q3 2026	Q3 2026 to Q2 2027	6x Revenue	305.00	170.09	172.22	2.14
Q4 2026	Q4 2026 to Q3 2027	6x Revenue	310.00	247.55	253.28	5.74
Q1 2027	Q1 2027 to Q4 2027	6x Revenue	315.00	328.06	338.01	9.95
Q2 2027	Q2 2027 to Q1 2028	6x Revenue	322.00	406.39	420.29	13.91
Q3 2027	Q3 2027 to Q2 2028	6x Revenue	330.00	478.07	496.05	17.98
Q4 2027	Q4 2027 to Q3 2028	6x Revenue	336.00	542.33	562.73	20.40
Q1 2028	Q1 2028 to Q4 2028	6x Revenue	341.00	602.52	625.18	22.66
Q2 2028	Q2 2028 to Q1 2029	20x Operating profit	345.00	654.03	728.04	74.01
Q3 2028	Q3 2028 to Q2 2029	20x Operating profit	349.00	724.29	803.38	79.09
Q4 2028	Q4 2028 to Q3 2029	20x Operating profit	352.00	789.46	872.98	83.51
Q1 2029	Q1 2029 to Q4 2029	20x Operating profit	355.00	850.16	937.43	87.27
Q2 2029	Q2 2029 to Q1 2030	20x Operating profit	357.00	911.73	1,002.37	90.65
Q3 2029	Q3 2029 to Q2 2030	20x Operating profit	359.00	967.06	1,060.65	93.59
Q4 2029	Q4 2029 to Q3 2030	20x Operating profit	361.00	1,022.25	1,118.38	96.13

Ceiling quarter	Exact forward-4Q window	Locked basis	Shares M	October only $/share	Final: +15% Q1/Q3 $/share	Effect of 2027 hikes
Q1 2030	Q1 2030 to Q4 2030	20x Operating profit	363.00	1,066.59	1,164.84	98.25

Active Q4 2027 derivation: (6239.017853 + 7402.302722 + 8459.823942 + 9411.581513) × 6 / 336 = **$562.727251**. The numerator is revenue, not operating profit. The final three operating quarters complete Q1 2030's forward earnings window and have no additional stand-alone ceiling.

Requested sensitivity at Q4 2027: $542.33 with October's announced increase alone, versus $562.73 including the two user-assumed 2027 steps: approximately $20.40 per share. No prior unpriced case is used as the comparison column.

Both columns retain the same 10% effective eligible on-demand exposure assumption. Neither assumes the pricing steps automatically reprice all group revenue.

7. Stated upside still not taken

The deployment pace and the disclosed ACV are now in the numbers. Three further stated items are not:

- Management says it **could sell its entire 2027 capacity today** on Q2 terms and is deliberately holding some back for higher-value near-term demand
- Q3 short-term capacity deals are pricing **above $40M per MW** against a $12M 2026 base, with the first signed in early Q3 and a capacity auction pilot clearing the highest price yet for Blackwell. The underlying deployment cross-check uses $20M, with only the separate selected on-demand price overlay added
- The **asset-light partnership model**, introduced this quarter, converts partner-financed capacity into revenue with minimal capital outlay. It is margin-accretive and capex-free and it is too new to size

The ACV assumption is the largest of the three. Every $5M per MW of blended ACV above $20M is worth roughly a quarter of the revenue line from 2027 onward.

Further pricing opportunities and revision gates

The active case includes the announced October change and the user-assumed Q1/Q3 2027 increases of 15% each. Any further increase beyond those three steps remains unmodeled. At each quarter, compare realized rates, contract coverage and utilization with the active assumptions; replace or rephase the pricing inputs if evidence changes, without altering the locked valuation method.

8. Base score - 50/60 = 83%

Category	Score	Evidence
Core Thesis	16/20	Deployed compute is a temporal bottleneck with 12-24 month replication. 5 GW of contracted power for year-end 2026, more than $40B of customer commitments, four Q2 deals above $1B TCV each, prepayments on ~70% of deals. Full-stack platform with Token Factory inference and Tavily agentic retrieval. Not a physics moat: CoreWeave and other neoclouds compete for the same demand
Cycle Stage	10/10	Revenue +454% YoY, ARR +598%, adjusted EBITDA flipped from -$21.0M to +$236.2M in a year. AI cloud adjusted EBITDA margin 24% to 45% to 49.7% across three quarters
TAM Expansion	9/10	Ford lens. Phase 1 AI cloud training at 100%. Phase 2 production inference at 50%, with Token Factory workloads more than tripling in Q2. Phase 3 agentic infrastructure and the asset-light partner model at 20%
Catalysts	5/5	Q3 print, exit-2026 ARR against the $7-9B target, first >1 GW deployment year in 2027, further asset-backed financings after the $775M July facility
Macro	9/10	AI capex supercycle with power as the binding constraint. Contracted power raised three times in twelve months
Alpha	3/5	Widely followed and heavily traded. The edge here is the cost-stack decomposition and the D&A treatment rather than discovery
Risks	-2	Two classes below
Total	**50/60**	**83%**

9. Key risks

1. **Financing dependence (-1).** Capex ran $5,657.4M in a single quarter against $8,042.1M of cash. The business requires continuous access to capital across prepayments, ATM equity, converts and asset-backed debt, and three of those four dilute or lever. **Kill switch:** a financing round priced at a material discount, or prepayment coverage of capex falling below 40%.
2. **GAAP operating losses through the ramp (-1).** The company does not cross into sustained operating profit until the D&A growth rate falls below the revenue growth rate. On this path that happens during 2027. **Kill switch:** D&A exceeding 50% of revenue for two consecutive quarters, or the operating loss widening in a quarter where revenue grows.

Not scored: the concentration implied by four deals above $1B each. Prepayments covering 50-60% of associated capex and take-or-pay style commitments materially reduce the counterparty exposure that concentration would normally carry.

10. Cross-book

- **BE (Bloom Energy).** Nebius announced a long-term partnership in May to deploy behind-the-meter fuel cells this year, and reiterated it on this print. That is a named, dated customer relationship for the Bloom thesis.
- **Memory complex (SNDK, MU, Samsung, SK hynix, all held).** Nebius is a large end consumer of HBM and server DRAM through its GPU fleet, and has received its first Vera Rubin NVL72 systems.
- **AMKR.** Nebius demand sits downstream of advanced packaging regardless of which accelerator ships.
- **The NVIDIA financing platform.** Nebius is precisely the customer profile that initiative targets: an AI cloud with demand and a capital constraint. Cheaper third-party capital shortens the replication time for every competitor as well, which cuts both ways for the temporal-bottleneck thesis.

11. Position, sources and current scope

NBIS is a core position, as confirmed by the user on September 28. Analytical Base remains 50/60 (83%); the protected Excel conviction override remains 95. The active ceiling is linked to the master portfolio, while upside and rank use its saved market price. Holdings flags are outside this pricing-only update.

The underlying deployment model still depends on the prior commissioning pace, customer acceptance and monetization assumptions. The retained September 28 calculation changes selected GPU pricing and its direct revenue/profit effects only: October's announced prices plus the two user-assumed 2027 increases. No new cap-table scenario, rescore, permitting haircut, valuation method or multiple is introduced.

- **P1 | Accessed September 28; effective October 1, 2026:** Nebius rate card. Selected on-demand GPU prices; realized sales mix is not disclosed.
- **P2 | August 12, 2026:** Q2 results and financial statements.
- **P3 | August 12, 2026:** Q2 shareholder presentation.
- **P4 | August 12, 2026:** Q2 call transcript.
- **U1 | User instruction, September 28, 2026:** assume a 15% price increase from Q1 2027 and a further 15% from Q3 2027. Retain existing valuation methodology and other model assumptions. These future rates are not management guidance.
- **Model provenance:** the full pre-pricing August 12 company artifact supplies the retained operating assumptions, 15-quarter denominator ladder, Base and the explicit section 3/6 revenue-to-profit handoff. Original and intervening versions are preserved in the external archive, not mixed into the current forecast.

Current files retain the original NBIS_NebiusGroup_DeepDive name in Markdown and self-contained PDF. The workbook's NBIS_Q_Model uses the same inputs. The evidence archive for this correction is versions/2026-09-28_NBIS_pricing_only/.